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CHINA MUSINGS

10 reflections so far on the Mideast oil shock

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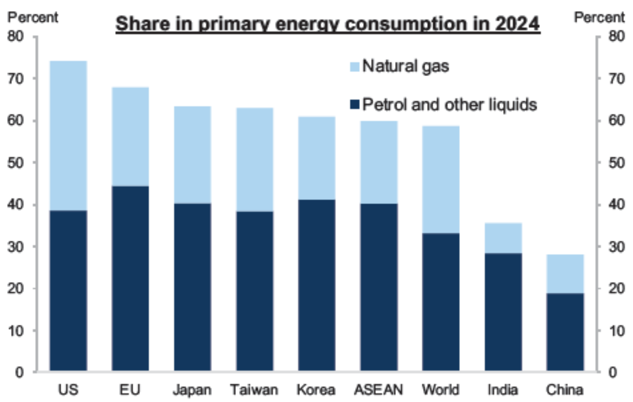
The war with Iran is now a month old, spot Brent oil price has surged +50% in the past month to US$110/bbl at time of this writing, the growth and inflation trade-off has worsened globally per latest GS macro forecast revisions, and Chinese stocks have corrected 4-6% alongside their DM and EM equity peers since the war started on February 28. In this China Musings, we take stock of the developments in the Middle East, summarize our key market thoughts and observations, and address investor FAQs regarding Chinese equities as the largest oil disruption in history continues to unfold.

1. **China looks better placed than most in this oil shock**
2. **Moderately lower fair value for Chinese equities**
3. **A debatable reflation story for the stock market**
4. **China's energy policy is paying dividends**
5. **AI has changed the (geopolitical) game**
6. **Plan "A" still works**
7. **Earnings and cash returns shine at uncertain times**
8. **Is Middle Eastern capital coming to HK?**
9. **A speed bump, not a detour of China's "Going Global" journey**
10. **Oil has stolen the thunder from the "Claw"**

1. China looks better placed than most in this oil shock

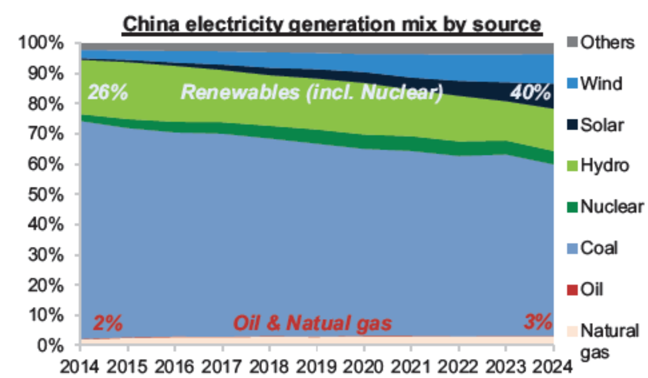
The Chinese economy appears better positioned amid the oil supply shock than its global peers, owing to its: a) strategic energy diversification efforts, with crude oil and LNG accounting for 28% of China's primary energy consumption in 2024, one of the lowest in the world. On the flip-side, alternative/renewable energy, notably nuclear, wind, solar, and hydro, now represents 40% of China's electricity generation, up from 26% a decade ago; b) rising oil reserves, encompassing strategic and commercial stockpiles, are close to 1.2bn barrels based on official statistics, sufficient for +110 days of oil consumption assuming the entire crude imports fall to zero; and, c) continued access to oil and gas supply from energy producing nations outside of the Middle East region, Russia, Australia, and Malaysia in particular. **Due to the oil shock, our economists have trimmed China's real GDP growth forecast by 20bps**, compared to 40bps for the US, and 70bps for the EM Asia ex-China economic bloc.

Exhibit 1: China's energy and power reliance on oil and gas is much lower than its global peers



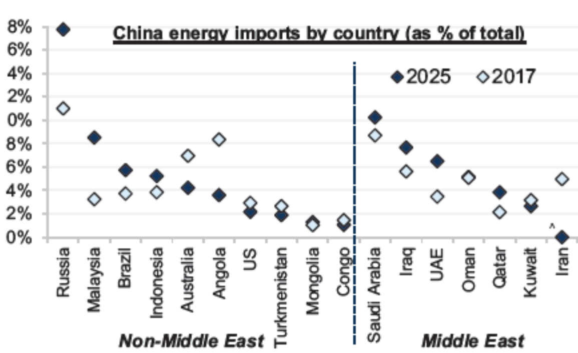
Source: EIA, Goldman Sachs Global Investment Research

Exhibit 2: Alternative and renewable energy sources make up for 40% of China's electricity generation



Source: EIA, Goldman Sachs Global Investment Research

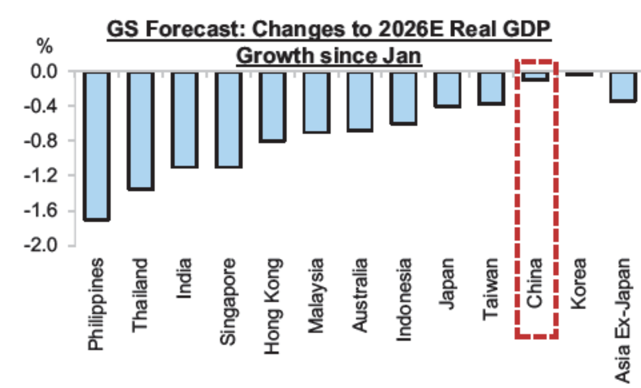
Exhibit 3: China's energy imports are fairly diversified geographically



^Note: Energy imports from Iran are much lower in China official custom data as media reported that they are now mostly rebranded as imports from Malaysia, Saudi or Oman since US tightened restrictions in 2019

Source: CEIC, Customs data, Goldman Sachs Global Investment Research

Exhibit 4: Our economists have trimmed 2026 China real GDP growth by 20bps because of the oil shock, one of the lowest in the region



Source: Goldman Sachs Global Investment Research

2. Moderately lower fair value for Chinese equities

While the direct impacts of higher for longer energy prices are likely more manageable for the Chinese economy, **the spillover effects/concerns about global stagflation, more sticky US rates and a stronger Dollar, and sustained geopolitical risk premia could hurt China equities** via the earnings, valuation, and money flows channels. Incorporating GS latest macro forecast changes in the past month to our top-down market frameworks, we estimate that the incrementally less friendly global backdrop could reduce China equity's fair value by about 5%, attributable to 2pp earnings hit and 3-4% fair PE reduction. Hence, we have **lowered our index target for MSCI China and CSI300** by 5% and 4%, now implying 24% and 12% 12m price returns respectively. A full-blown global recession and/or stagflation scenario is admittedly not fully priced in yet, but we stay Overweight A- and H-shares in the APxJ context given their favorable risk/reward profiles, and we'd recommend **investors to build strategic exposures at current prices** barring the materialization of left-tail events.

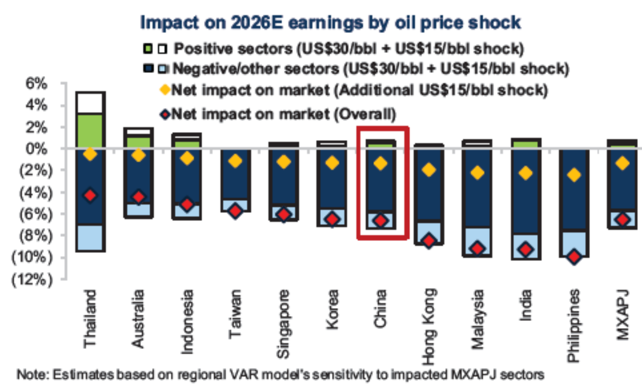
Exhibit 5: A less equity friendly global backdrop could moderately reduce the equilibrium value of China equity

		Assumptions (2026E)			MXCN sensitivity	
		On Jan 1	Current	Harsh case (stagflation/ recession)	Change from baseline	PE impact
Oil	Brent ($/bbl)	56	85	110	+/-10%	-/+4%^
Growth	China real GDP	4.8%	4.7%	4.5%	+/-50bp	+/-0.3%
	World real GDP	2.8%	2.4%	2.0%	+/-50bp	+/-0.7%
Inflation	China inflation (PPI&CPI)	-0.1%	1.0%	1.5%	+/-50bp	+/-1.1%
Rates	10-year UST yield	4.2%	4.1%	4.5%	+/-10bp	-/+0.1%
FX	USDCNY	6.85	6.7	-	+/-10%	-/+5.6%
Risk	GPR				GPR spikes: 1-3%	
	MXCN PE forecast (X) (current)	*13*	*12.2 11.6x*	*9.5*		

^ is estimated based on periods with Brent oil price > US$80/bbl and monthly change>10%

Source: MSCI , FactSet, Goldman Sachs Global Investment Research

Exhibit 6: Our VAR impulse shock analysis suggests a 6% cumulative earnings impact from the oil price changes since the start of the Middle East conflict



Source: Goldman Sachs Global Investment Research

Exhibit 7: We remain overweight most North Asian markets, but reduce India to MW and Philippines to UW

GS Strategy APxJ Market Allocation

	Market	Index	Index Level	GS 12m Target	Target fPE	z-score (10yr)	Chg to Target	USD Total Return
OW	Korea	KOSPI	5,460	7,050	9.9x	-0.2	29%	33%
	China	MXCN	77	95	12.5x	+0.3	24%	27%
	Japan	TPX	3,643	4,200	17.6x	+2.7	15%	21%
	China A	CSI300	4,478	5,000	14.2x	+1.1	12%	16%
MW	Malaysia	FBMKLCI	1,711	1,840	14.2x	-0.5	8%	15%
	Taiwan	TWSE	33,338	35,900	17.0x	+1.0	8%	12%
	Singapore	FSSTI	4,888	5,100	15.5x	+1.4	4%	11%
	Hong Kong	MXHK	15,939	16,900	15.0x	+0.3	6%	10%
	India ⬇	NIFTY	23,306	25,900	19.5x	-0.3	11%	10%
UW	Australia	AS51	8,526	8,700	17.8x	+0.8	2%	8%
	Philippines ⬇	PCOMP	5,984	6,300	10.0x	-1.7	5%	6%
	Indonesia	JCI	7,164	7,200	10.6x	-2.0	1%	5%
	Thailand	SET	1,443	1,320	16.5x	+0.3	(9%)	(2%)
	MXAPJ (USD)		745	870	14.0x	+0.4	17%	19%

Note (1): 12m index targets are as of Mar-2027; Return for MXAPJ is in USD terms
Note (2): Current Index levels are as of Mar 26

Source: Goldman Sachs Global Investment Research

3. A debatable reflation story for the stock market

Our economists' most updated inflation projections suggest that **China could end its 41-month PPI deflation as early as in March primarily because of surging global energy prices**, 6 to 9 months earlier than their prior forecast. While investors are generally skeptical about the positive impacts of cost-push inflation on the stock market, rising PPI has historically been associated with robust corporate profits and decent equity returns, even during periods when inflationary pressures were mostly instigated by higher input costs (e.g. 2011, 2017/18, and 2021). In fact, **Chinese nominal GDP growth has been revised up by 0.8pp (per GS estimates) since the Iran war started**, arguably a moderate tailwind for companies' revenue growth and upstream sectors' profitability. This could also help alter the disinflationary corporate behavior and consumer mindset, with lower real interest rate likely supportive of corporate capex and asset reallocation flows from cash/savings to the equity market, everything else being equal.

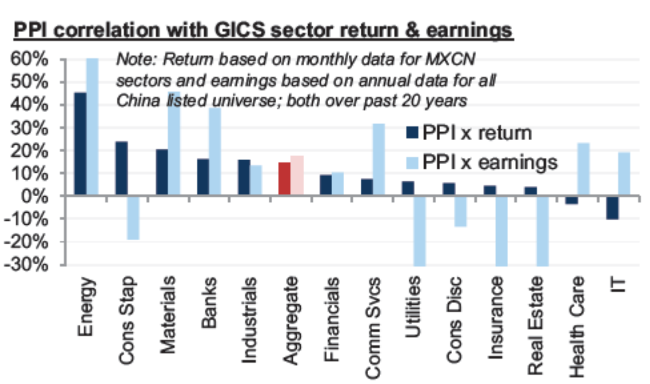
Exhibit 8: China could come out of the disflationary cycle as early as in March due to surging energy prices

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 9: Nominal GDP growth is tightly linked with corporate revenue growth

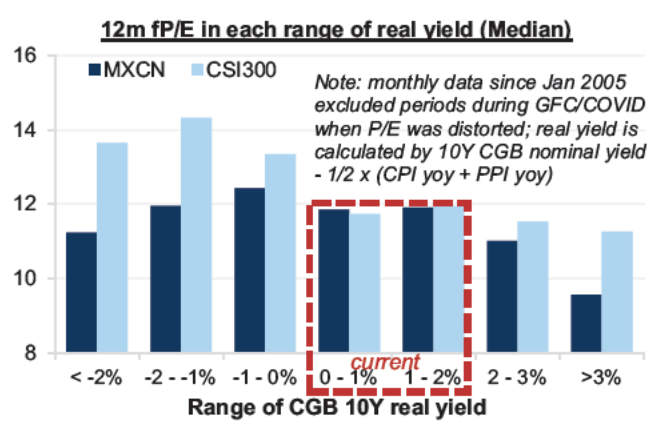
Source: Goldman Sachs Global Investment Research

Exhibit 10: Higher PPI is typically positively associated with corporate profit and equity returns



Source: MSCI, Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 11: Real rates are also well correlated with equity valuations in China



Source: Wind, FactSet, Goldman Sachs Global Investment Research

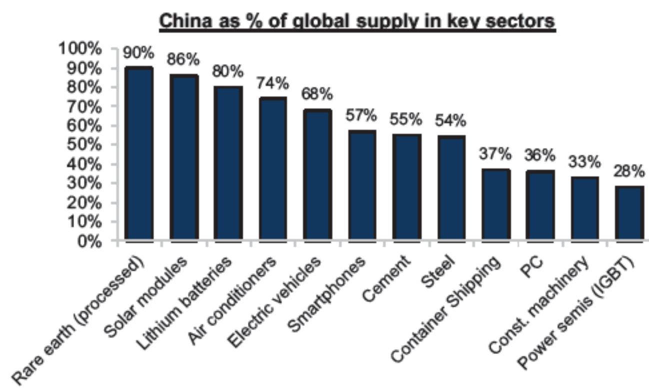
4. China's energy policy is paying dividends

China is the world's largest importer of oil and LNG by volume but also is the largest investor in alternative energy, spanning power generation sources and technology, energy infrastructure (VLCC, power transmission, equipment, and storage), and modern petrochemical facilities. The disruptions in the Strait of Hormuz, through which 20%/25% of crude oil/LNG and many critical inputs to the agricultural and manufacturing supply chains are transported globally in normal times, have elevated energy independence, supply chain resiliency, and social stability to the national security level. This will most likely intensify China's commitment and support to its alternative energy policy orientation, potentially creating **new revenue and profit pools domestically and abroad for relevant Chinese companies.** In this vein, we reiterate our strategic optimism on our **China Select AI Portfolio** and our **China 15th FYP Portfolio** where select proxies from the AI power and alternative energy value chains are heavily featured.

Exhibit 12: Security and Energy were heavily featured in the 15th FYP

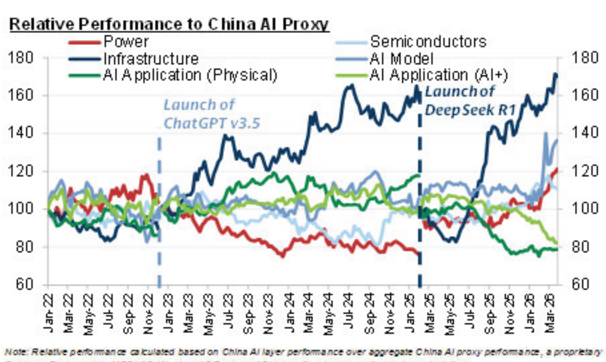
Source: Data compiled by Goldman Sachs Global Investment Research

Exhibit 13: Chinese manufacturers hold dominant positions in the global supply chain in various consumer, industrial and commodity sectors



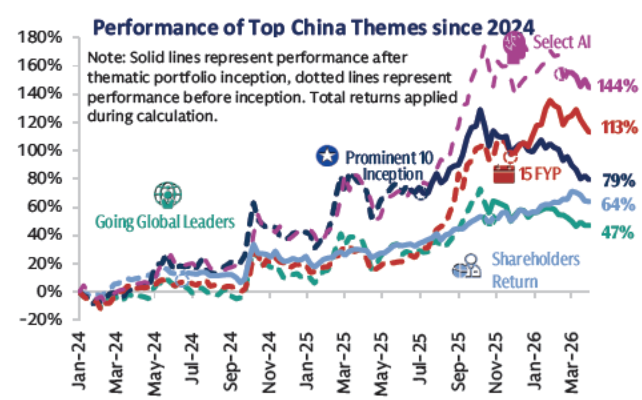
Source: Company data, Reuters, Goldman Sachs Global Investment Research

Exhibit 14: The Power cohort in the Chinese AI supply chain has continued to trade well since the "DeepSeek moment"



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 15: Investors could gain exposures to the new/alternative value chain in our AI Select Portfolio and the 15th FYP Portfolio



Source: FactSet, Goldman Sachs Global Investment Research

5. AI has changed the (geopolitical) game

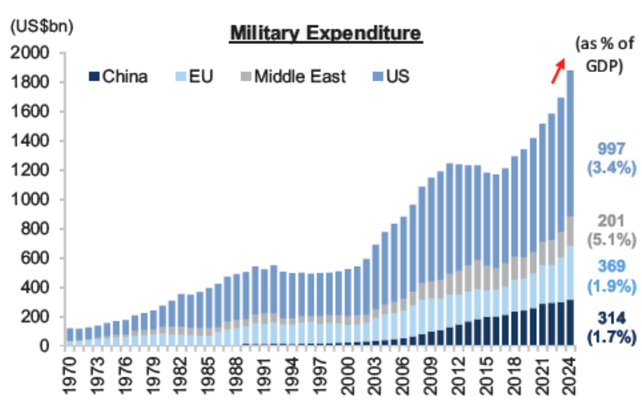
The Iran war, and to a lesser extent the US's operation in Venezuela, are widely regarded by military experts and geopolitical commentators as the new template of military conflicts in the modern era. They showcase **the ascent and importance of technology and AI in national defense and warfare strategy**, notably the adoption of AI-powered intelligence analysis, precision targeting, and autonomous weapon systems such as drones and unmanned vessels. Not only has the war prompted sovereign nations to lift their defense spending, but it has also pivoted their focus on AI investment to beef up their defense capability and capacity, in our view. This has further cemented our strong belief that **AI will remain a dominant theme in the Chinese equity universe**, especially in areas where China is enjoying comparative and competitive advantages over its global peers, **the Power, Infra, and Physical AI cohorts in particular**, and those that are related to national security, namely the semi supply chain and LLMs.

Exhibit 16: Technology and AI are widely used in the ongoing Iran war

AI and technology deployed in Iran war	
Large Language Models	Claude has been used in countering terror plots and in the raid that captured Venezuelan president Nicolás Maduro.
Maven Smart System (MSS)	MSS provides real-time targeting and target prioritization to military operations in 1,000+ strikes on Day 1, and has facilitated over 7,800 total strikes by March 18
AI Anti-Missiles	Fully covered by AI algorithms, Isreal's Iron Dome, Arrow-2/3, and David's Sling systems are capable of simutanuously intercepting dozens of drones and missles targets in a single round.
Drones	By Mar 25 night, Iran had launched 4,391 missiles and drones at GCC vital infrastructure and civilian facilities. Low-cost Uncrewed Combat Attack System (LUCAS), a one-way attack drone, was used to strike Iranian targets.

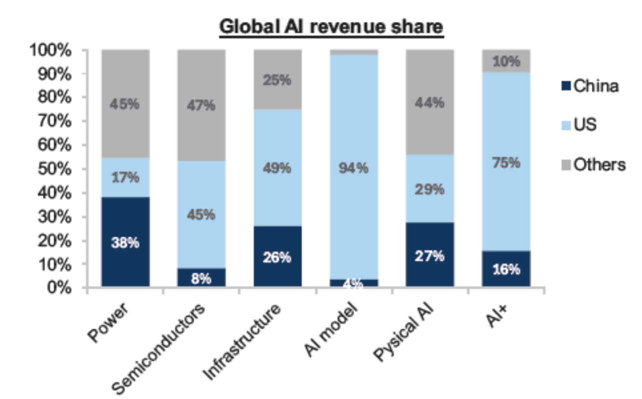
Source: Washington Post, Euro News

Exhibit 17: Rising defense budgets globally could increasingly gravitate towards AI/technology investments



Source: World Bank, Goldman Sachs Global Investment Research

Exhibit 18: China is a key player in the global AI value-added chain, notably Power, Infra, and Physical AI



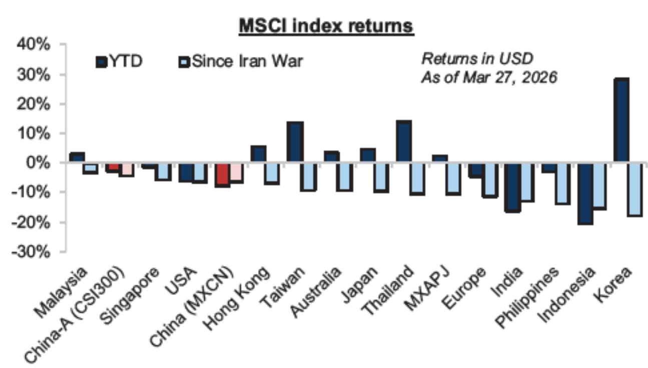
AI+ includes AI adopters such as Media & Entertainment, E-commerce, AI platform & Software, Business Services, etc. Please refer to AI changes the game (Part 2) for more details

Source: FactSet, MSCI, Goldman Sachs Global Investment Research

6. Plan "A" still works

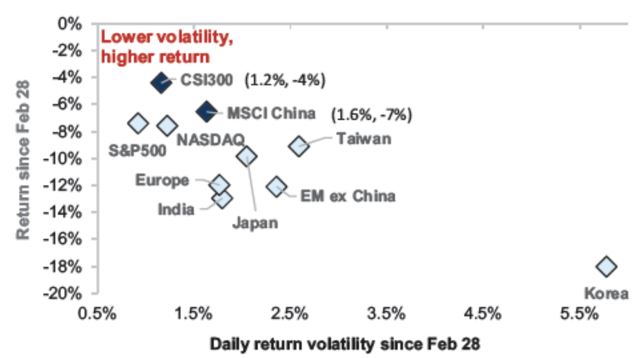
While Chinese stocks have corrected alongside global equities since the outbreak of the war, their **diversification benefits, especially those from A shares, are on full display** so far in this oil shock. CSI300 and MSCI China have fallen 4% and 7% since Feb 28 (3% and 8% ytd), largely inline with MSCI all country world index and but modestly better than ex-China emerging markets. Importantly, A and H shares have meaningfully **outperformed their peers on a volatility-adjusted basis**, achieving a Sharpe ratio of -0.7 and -0.6 in the past month and exhibiting a 52w rolling return correlation with SPX of 0.2 and 0.3 respectively. The demand for idiosyncrasy and "low vol" should rise as growth and geopolitical risks rise, **adding to the investment appeal of A shares** where foreign investor ownership merely stands at 3%, equity valuations seem inexpensive versus domestic rates, and the policy put underwritten by the government (e.g. the National Team) remains valid, in our view. All these help reinforce our "slow bull" thesis for China A, which continues to offer strong alpha opportunities to investors across mandates and strategies.

Exhibit 19: Chinese equities have been more resilient so far in this oil shock



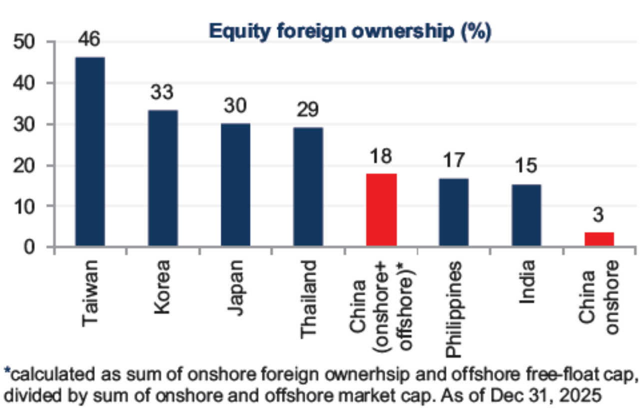
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 20: China A shares have outperformed their EM comparables on a risk-adjusted basis in the past month



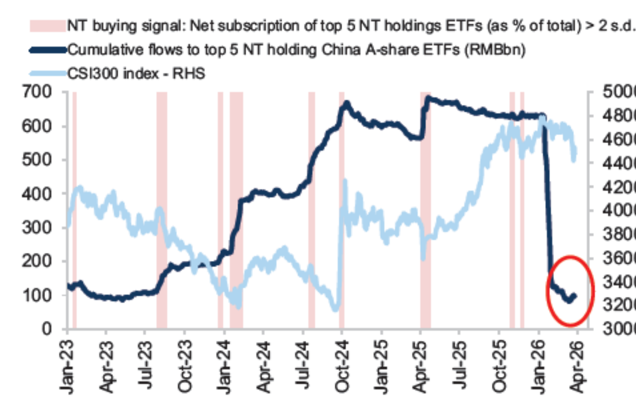
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 21: The low FINI ownership in the onshore equity market adds to the idiosyncrasy of A shares



Source: Local Stock Exchanges, Wind, Goldman Sachs Global Investment Research

Exhibit 22: Our ETF flow tracker indicates that the "National Team" has turned into a buyer in past weeks after selling down its equity exposures earlier this year

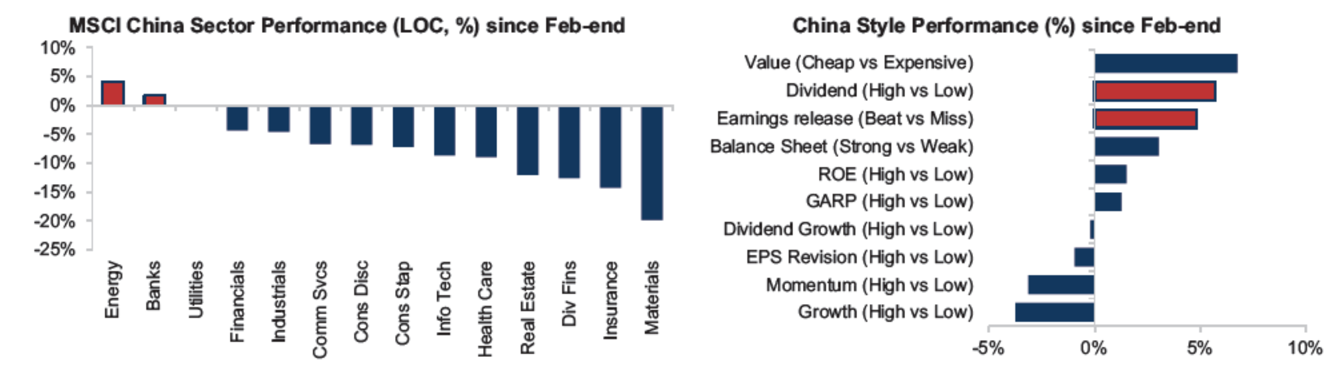


Source: Wind, Goldman Sachs Global Investment Research

7. Earnings and cash returns shine at uncertain times

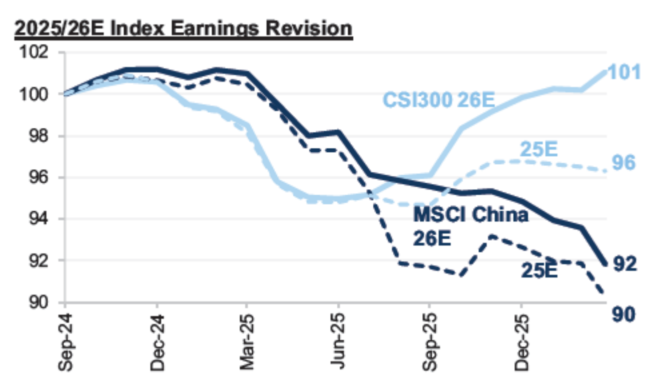
Besides the (upstream) energy sector, which has understandably benefited from the tight oil supply, the other outperforming themes and factors in this challenging beta environment have been **(high) cash/dividend returns**, and to a lesser extent, **earnings delivery**. This stylistic divide is partly supported by the continued focus by Chinese corporates to raise ROE/cash returns for shareholders, the improving EPS revision momentum in A shares, and **our expectation that profit growth across the A- and H-share universe could reach low-teen levels in 2026**, underpinned by AI, "Going Global", and China's anti-involution policy bias, with the last driver probably already manifesting in the food delivery, logistics, and autos sectors. As Chinese companies are scheduled to report their FY25 and 1Q16 financials in the coming weeks, we believe **sectors/stocks that are more likely to beat consensus expectation and/or surprise the market on the upside on their shareholder returns policy** could generate alpha for investors, especially against those that are more prone to miss in this reporting season.

Exhibit 23: Dividends growth and earnings surprises have generated alpha in the past month



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 24: An improving consensus earnings revision trend for A shares



Source: FactSet, CSI, MSCI, Goldman Sachs Global Investment Research

Exhibit 25: We think Tech HW and Materials are more likely to surprise market to the upside while Staples could miss in this reporting season

Sector earnings momentum into FY25/1Q26 result season

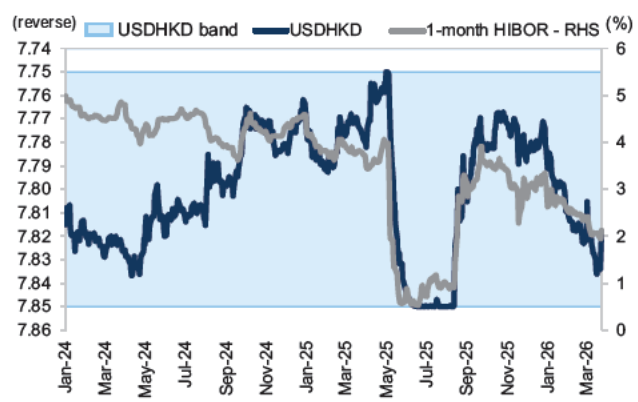
Approach		Positive	Negative
2025E	Profit alerts (A)	Div Fin | Utilities Materials | Semis Tech HW	Property | Software Food Bev
	GS analysts vs consensus	Staples retailing (H) Div Fin | Insurance Metals & Mininig	Internet | Autos Chemicals
	NBS industrial profit	Tech HW | Utilities	Energy | Cons Stpl Cons Dur
2026E	GS analysts vs consensus	Materials | Energy Health Care	Internet | Autos
	Earnings revisions		Property | Cons Stpl Cons Dur | Tech HW (H)

Source: FactSet, IBES, CSI, MSCI, NBS, Goldman Sachs Global Investment Research

8. Is Middle Eastern capital coming to HK?

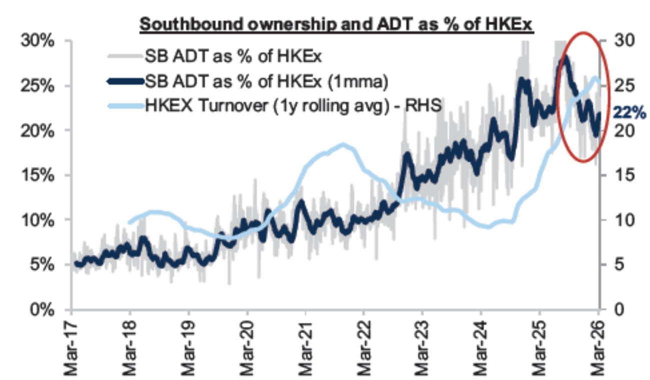
This is a FAQ by market watchers, who are keen to understand the capital flow implications to the Asia financial hub if geopolitical concerns stay elevated in the Middle East. We think it's too early to tell as strategic investment decisions usually take more than 1 month to conclude, **but some signs suggest that international money may have recently flowed to Hong Kong** where HIBOR has fallen to 7-month lows, HKEx turnover has strengthened despite steady Southbound trading representation post the Iran war, and the local housing market is staging further recovery, led by the high-end segment. **We continue to envisage a conducive liquidity backdrop for HK-listed stocks in 2026**, anchored by the likely Dollar weakening trend over the medium term, an active IPO calendar, strong Southbound flows (GSe for 2026: US$200bn), and still-conservative positioning by foreign investors in Chinese stocks. But, prolonged economic disruptions in that region could impede the investment capacity and appetite towards Chinese assets by Middle Eastern investors, who have been key capital sponsors in both the private and public equity domains in recent years.

Exhibit 26: Interbank interest rates in HK have dropped to recent-year lows



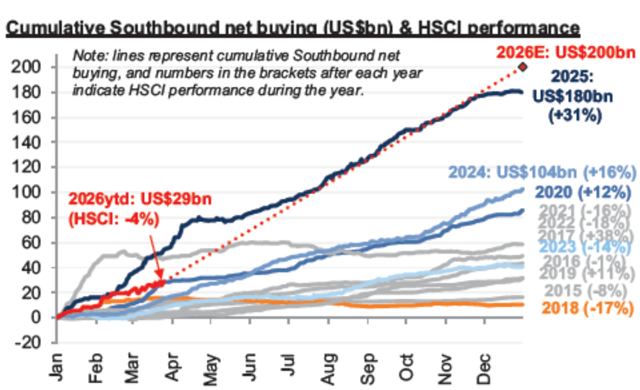
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 27: Cash turnover at HKEx has risen despite moderating Southbound trading representation



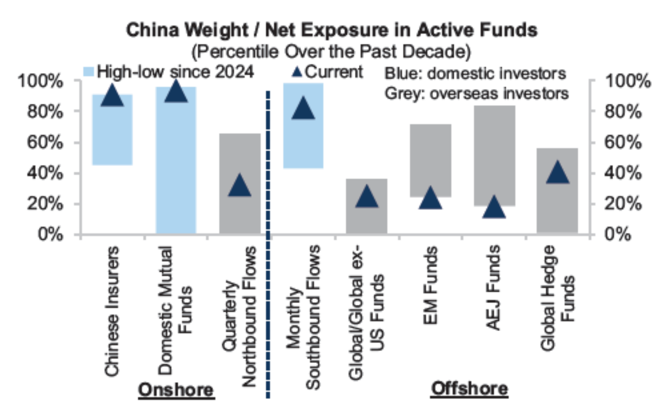
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 28: We expect Southbound flows to reach US$200bn this year on strong allocation demand from onshore investors towards HK-listed equities



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 29: Global mutual fund and hedge fund mandates are conservatively positioned in Chinese stocks

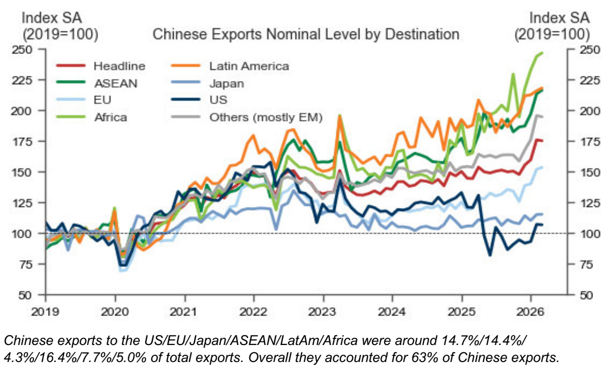


Source: Wind, CBIRC, EPFR, Goldman Sachs Prime Services, Goldman Sachs Global Investment Research

9. A speed bump, not a detour of China's "Going Global" journey

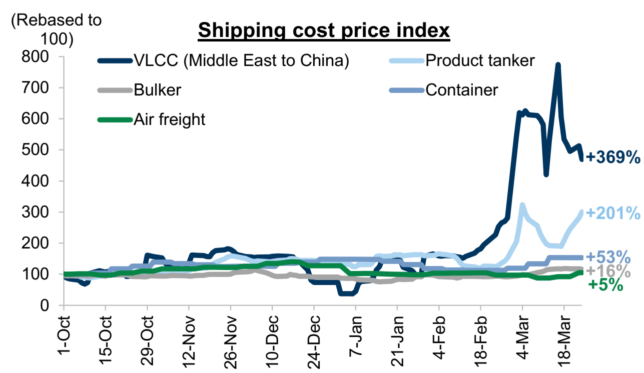
The rising global growth risk, and the supply chain/logistics disruptions have cast doubt on the resiliency of Chinese exports, which rose 22% in the first 2 months of 2026, accounted for 16% of global share in 2025, and have been a bright spot of macro growth in recent years. **We remain constructive about Chinese companies' potential of expanding overseas and gaining market share globally**, considering: a) China's strong manufacturing capability and supply-chain diversity, especially for products and critical minerals (e.g rare earths) that are difficult to substitute in the near future; b) a competitive currency (the Rmb has weakened by 15% in real effective terms since 2021); c) diversification of export markets, notably EMs where trade policy towards China stays largely accommodative; d) China is not only exporting tradable goods, but increasingly selling services, with the licensing out trend by biotech/pharma firms, rising token exports, and the growing inbound tourism being the prime examples; e) continuing outbound FDIs by Chinese companies, and, f) still-favorable base effect: listed Chinese companies generated 16% of their revenues from overseas markets in 2024, vs. 25% for S&P500 constituents.

Exhibit 30: Chinese exports surged in January-February, led by developing economies globally



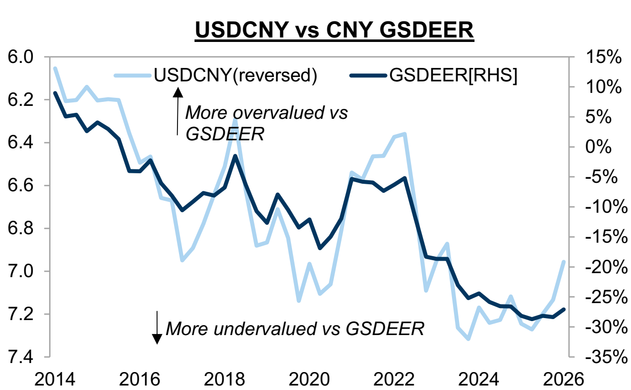
Source: China Customs, Goldman Sachs Global Investment Research

Exhibit 31: Transportation costs have risen across the board as the disruptions in the Middle East continue



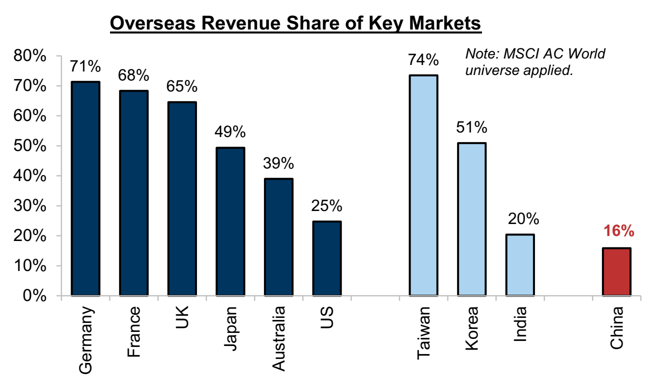
Source: Clarksons, TAC, Goldman Sachs Global Investment Research

Exhibit 32: Chinese currency looks very competitive on a REER basis



Source: Goldman Sachs Global Investment Research

Exhibit 33: China's overseas revenue exposure is still below major DM and EM countries

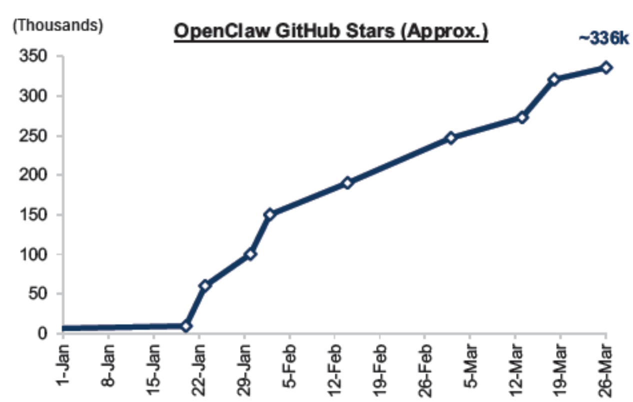


Source: FactSet, MSCI, Goldman Sachs Global Investment Research

10. Oil has stolen the thunder from the "Claw"

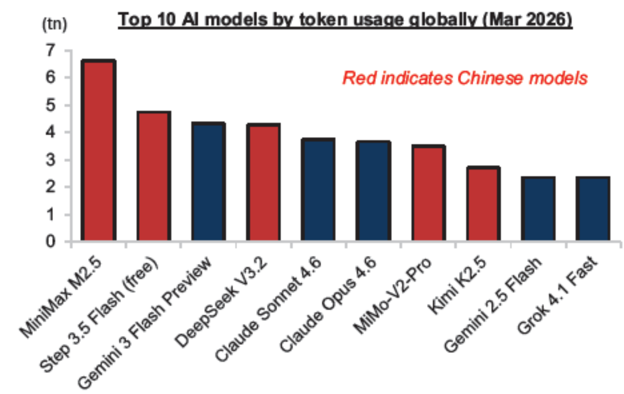
The Middle East conflict has arguably masked another AI development milestone in China—**the rise of agentic AI**. If the "DeepSeek moment" was a game changer which proved that China is capable of producing globally competitive AI models despite technology export controls from the West, then the **emergence of "OpenClaw" and the explosive growth of token usage starting a couple months ago** is a testament of the broad application/diffusion and strong monetization potential of Chinese AI. While it seems premature to predict how the business model of agentic AI may evolve and how the profit pool may shape up and be divided, the transition from AI chatbot to agentic AI showcases the necessary conditions that keep China AI relevant and competitive in the global AI ecosystem, namely a vast user base, open-sourced and capable LLMs, strong cost competitiveness (tokens), well-built AI infrastructure, and world-leading manufacturing capability for physical AI use cases. Our analyst team has highlighted **37 potential beneficiaries amid the "Openclaw" frenzy**, which have lost 8% ytd, but outperforming MSCI China/our broad Chinese AI universe by 44pp/14pp since 2025.

Exhibit 34: Openclaw usage has seen significant rise in recent weeks



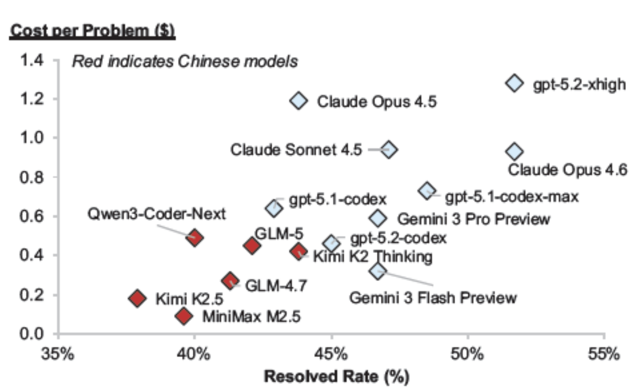
Source: GitHub, News sources, Data compiled by Goldman Sachs Global Investment Research

Exhibit 35: Token usage has increased significantly over recent months amid the proliferation of Chinese AI agents



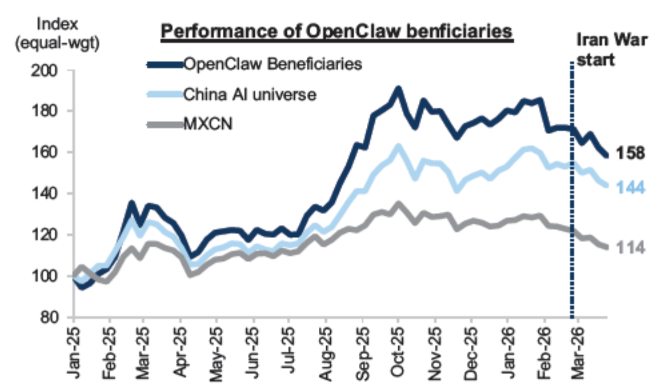
Source: OpenRouter, Data compiled by Goldman Sachs Global Investment Research

Exhibit 36: Chinese models are competitive globally on performance as well as on costs



Source: SWE-rebench

Exhibit 37: GS's "OpenClaw" beneficiary list has outperformed the broader market and our defined AI universe in the past year



Source: FactSet, Goldman Sachs Global Investment Research

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Reg AC

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